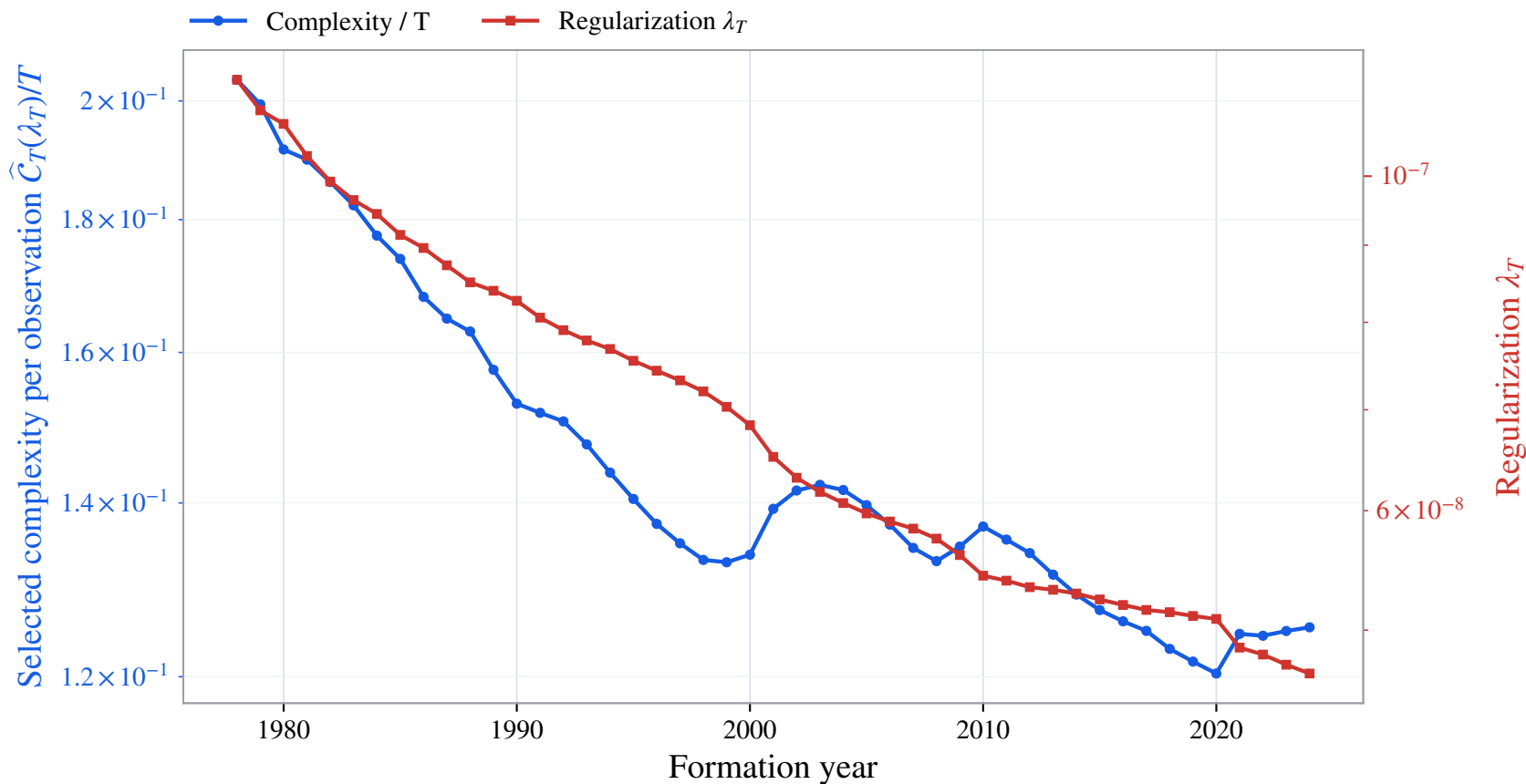


Complexity per observation and regularization

Matérn-3/2 · C_0 fixed initially · spectral b and portfolio coefficients refitted annually



$\lambda_T = C_0 T^{-\hat{b}_T/(\hat{b}_T + 1)}$; T counts historical monthly observations.

C_0 chosen on 1973-1977 validation. Annual changes in b can produce local increases in λ .

T counts historical monthly managed payoffs used for fitting (180-732), excluding the test year.